

**BEFORE THE
FEDERAL MARITIME COMMISSION**

DOCKET NO. 15-04

CROCUS INVESTMENTS, LLC AND CROCUS, FZE,

— vs. —

**MARINE TRANSPORT LOGISTICS, INC. AND ALEKSANDR SOLOVYEV
a/k/a ROYAL FINANCE GROUP INC.**

**COMPLAINANT'S BRIEF IN SUPPORT OF
ITS' EXCEPTIONS TO INITIAL DECISION**

CROCUS INVESTMENTS, LLC and CROCUS, FZE, by and through their Counsel, Marcus A. Nussbaum, Esq., pursuant to Rule 227 of the Federal Maritime Commission's ("FMC" or "Commission") Rules of Practice and Procedure, 46 C.F.R. § 502.227, submits the following Brief and Exceptions to the Initial Decision issued in this proceeding by presiding Administrative Law Judge, Clay G. Guthridge, on June 17, 2016.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

TABLE OF CONTENTS

	PAGE
TABLE OF CASES.....	iii
INTRODUCTION.....	1
RELEVANT PROCEDURAL HISTORY.....	4
ARGUMENT.....	4
A. THE ALJ ERRONEOUSLY DETERMINED THAT A CONTRACT OF CARRIAGE DID NOT EXIST FOR TRANSPORTING THE FORMULA BY WATER FROM THE UNITED STATES TO DUBAI.....	7
<i>The ALJ's Findings of Fact</i>	7
<i>Standard of Review</i>	10
<i>The Parties Acts Establish the Existence of a Contract of Carriage for the Formula</i>	11
B. SOLOVYEV ADDITIONALLY OPERATED IN THE CAPACITY OF OCEAN FREIGHT FORWARDER WITH RESPECT TO THE SUBJECT SHIPMENTS AND IN DOING SO, VIOLATED THE SHIPPING ACT.....	14
<i>Duties of an Ocean Freight Forwarder</i>	15
<i>While Acting in the Role of OFF, Solovyev Breached His Fiduciary Duty to the Complainants</i>	17
<i>Solovyev as OFF for Shipment of the Monterey and Chaparral from Dubai back to the United States</i>	19
<i>Solovyev Performed Customs Clearance, Engaged in Unloading and Other OFF Activities for the Subject Boats</i>	19
<i>Respondents Violated Section 41102(c) of the Shipping Act With Respect to the Monterey and Chaparral</i>	21
<i>Solovyev, as Freight Forwarder, Breached His Duties to the Complainants With Respect To the Trailer for the Formula</i>	23
<i>Soloveyv's Breach of His Duty of Good Faith and Fair Dealing</i>	24

<i>Monies Contained Within the Wire of \$5000.00 from Complainants to the Respondents Meant for the Purchase of a Trailer for the Formula Should Have Been Credited Towards Monies Due and Owing for Loading and Shipping to Dubai.....</i>	25
<i>Solovyev Did Not Obtain Title to the Formula until Two (2) Years After He Allegedly Undertook Responsibility to Export the Boat to Dubai.....</i>	26
<i>The Fact That the Formula Was Temporarily Placed Into Storage by Complainants Does Not Change the Character of the Shipment - - The Formula Was Destined For Export.....</i>	29
CONCLUSION.....	31

TABLE OF CASES AND AUTHORITIES

<i>Alexandre Kaminski v Keystone Limited</i> , (6/23/93, FMC) Informal Docket No. 1739(I).....	24
<i>Apollo Fuel Oil v. United States</i> , 195 F.3d 74 (2d Cir. 1999).....	19
<i>Atlantic Coast Line R.R. Co. v. Standard Oil Co.</i> , 275 U.S. 257, 48 S. Ct. 107, 72 L. Ed. 270 (1927).....	30
<i>Ca' de Be' Imps., Inc. v. Zim-American Israeli Shipping Co.</i> , 2006 U.S. Dist. LEXIS 127, 2006 WL 23547 (E.D. Pa. 2006).....	17
<i>Chicago, Milwaukee, St. Paul & Pacific R.R. Co. v. Acme Fast Freight, Inc.</i> , 336 U.S. 465, 69 S. Ct. 692, 93 L. Ed. 817 (1949).....	17
<i>Corpco International, Inc. v Straightway, Inc.</i> , (6/8/98, FMC) Docket No. 97-05.....	24
<i>Fed. Ins. Co. v. Great White Fleet (US) LTD.</i> , 2008 U.S. Dist. LEXIS 58461, 2009 AMC 447 (S.D.N.Y. 2008).....	31
<i>In re S. African Apartheid Litig.</i> , 633 F. Supp. 2d 117 (S.D.N.Y. 2009).....	19
<i>Jemzura v. Jemzura</i> , 36 N.Y.2d 496, 369 N.Y.S.2d 400, 330 N.E.2d 414 (1975).....	10
<i>Local Union 813, International Brotherhood of Teamsters v. Waste Management of New York, LLC</i> , 469 F.Supp.2d 80 (E.D.N.Y.2007).....	11
<i>Maas v. Cornell Univ.</i> , 94 N.Y.2d 87, 699 N.Y.S.2d 716, 721 N.E.2d 966 (1999).....	10
<i>Martin v. Campanaro</i> , 156 F.2d 127 (2d Cir. 1946).....	11
<i>N. Carolina Utilities Comm'n v. United States</i> , 253 F. Supp. 930 (E.D.N.C. 1966).....	30
<i>Nadel v. Play-By-Play Toys & Novelties, Inc.</i> , 208 F.3d 368 (2d Cir.2000).....	10
<i>New York Foreign Freight Forwarders and Brokers Ass'n v. Federal Maritime Comm'n</i> , 337 F.2d 289 (2d Cir.1964).....	18
<i>Russo v. Banc of America Securities</i> , 2007 WL 1946541 (S.D.N.Y.2007).....	10
<i>Samir Abusetta d/b/a Sammy's Auto Sales v. JAX Auto Shipping, Inc. and Marine Transport Logistics, Inc.</i> (FMC Informal Docket No. 1932(I) (October 18, 2016, by the Commission).....	27

<i>State of Texas v. Anderson, Clayton & Co.</i> , 92 F.2d 104 (5th Cir. 1937).....	29
<i>Swift Textiles, Inc. v. Watkins Motor Lines, Inc.</i> , 799 F.2d 697 (11th Cir. 1986).....	29
<i>Tadeusz A. Pawlowicz v. William Allen</i> , (ABU W. Garcia) (6/15/93, FMC) Informal Docket No. 1725(I).....	23
<i>Tang v. Jinro Am., Inc.</i> , No. CV-03-6477, 2008 WL 4163183 (E.D.N.Y. 2008).....	10
<i>United States v. American Union Transport, Inc.</i> , 327 U.S. 437, 66 S.Ct. 644, 90 L.Ed. 772 (1946).....	18
<i>United States v. Ventura</i> , 724 F.2d 305, 1983 U.S. App. LEXIS 14524, 1984 AMC 645 (2d Cir. N.Y. 1983).....	17, 18
<i>Vinmar Inc. v. China Ocean Shipping Co.</i> , 26 S.R.R. 420 (FMC 1992).....	10
<i>Zima Corp. v. M. V. Roman Pazinski</i> , 493 F. Supp. 268 (S.D.N.Y. 1980).....	17

AUTHORITIES

46 CFR §515.2	15
46 U.S.C. § 190–194 recodified at 46 U.S.C.S. § 30701–30707.....	31

I. INTRODUCTION

This case was initiated by complainants CROCUS INVESTMENTS, LLC and CROCUS, FZE ("Complainants") against respondent Non-Vessel Operating Common Carrier ("NVOCC") MARINE TRANSPORT LOGISTICS, INC. ("MTL") and its president ALEKSANDR SOLOVYEV a/k/a ROYAL FINANCE GROUP INC. wherein complainants allege that respondents violated sections of the Shipping Act of 1984, 46 U.S.C. §40101, *et. seq.* (the "Shipping Act") and the Regulations Affecting Ocean Shipping in Foreign Commerce, specifically 46 C.F.R. § 520.3 & §532.5, with respect to a 2008 Chaparral boat VIN# ending in D808; a 2011 Monterey 204 boat VIN ending in 1011; and a 2010 Formula 34PC boat, for which respondents undertook responsibility for the international transportation by water. Specifically, the violations of the Shipping Act alleged against respondents in this action include, *inter alia*, with respect to Complainant's cargo, that the respondents, in violation of 46 U.S.C. § 40901(a) & §41102(c):

- i. Failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property by unlawfully withholding Complainants' property (boats) and/or committing conversion against the Complainants' property with which it was entrusted; and that
- ii. Respondent Solovyev, doing business as Royal Finance Group violated 46 U.S.C. §40901(a) when it presented invoices and collected payment for MTL's transportation services acting in essence as an ocean transportation intermediary without holding a valid license to do so.

With respect to the Formula boat, and to the extent that the ID finds that "the evidence does not establish that MTL operated as an NVOCC" and that "[t]he evidence establishes that the [Formula] boat never left the United States; therefore, the third boat never entered into international commerce, the Shipping Act does not apply..." (ID at pp. 1-2, a copy of which is annexed hereto as Appendix "1"), it respectfully submitted that the Presiding Officer ignored evidence which stands in stark and marked contrast to such an erroneous statement. It is further

respectfully submitted that the Presiding Officer's finding that "Complainants and Respondents (MTL, Solovyev, or any of Solovyev's companies) never entered into an agreement to transport the Formula by water from the United States to a foreign port" (ID at p. 26) ignores the most basic precepts of contract law, to wit: that a contract is created via an offer, acceptance, and exchange of consideration, all of which have been established herein by undisputed evidence on the record.

Among other things, respondents (1) arranged for delivery of the Formula from the auction warehouse to the port of loading for the sum of \$3500.00; (2) provided expert advice to the complainants, for example advice on the need for proper container for loading the Formula onto an ocean liner, or for a trailer so that the Formula could be exported to Dubai; (3) prepared shipping documentation at the time that the Formula was placed into Solovyev's custody and control for export, wherein Solovyev collected \$500 for preparation of "Shipping Documents"; and (4) collected an additional \$4500.00 that respondents failed to apply to the \$12,000.00 that was due for loading and shipping the Formula to Dubai.

The ID further ignores or gives little regard to the material evidence and arguments posited by complainants as to the existence of a contract between the parties for the international ocean carriage of the Formula to Dubai, the existence of which was *admitted* by respondents in paragraph "18" of their Answer to the Complaint (annexed hereto as Appendix "2"), wherein respondents admitted that "Complainant wire transferred \$5,000.00 to RFG, which reflected payment of \$4,500 for a trailer upon which the boat would be secured and a \$500 shipping documentation charge."

Additionally, and with respect to the Monterey and Chaparral, the facts establish that respondent Solovyev operated in the capacity of OFF, and not merely as "agent" of MTL with respect to the transport of the Monterey and Chaparral boats during their transport back to the United States from Dubai, and in the course of doing so, violated the Shipping Act. As set forth in

the ID, it is undisputed that Solovyev performed various Ocean Freight Forwarder tasks with respect to the transport of the boats from Dubai back into the United States after the boats were repaired in Dubai. Among other things, Solovyev arranged for warehouse storage, provided documents for clearance of the boats through UAE Customs on export and through U.S. Customs upon return from Dubai (including among other things the Vessel Bills of Sale), and handled (via RFG) the payment of ocean freight and other monies, including customs duties, from complainants.

Consequently, and in light of respondents' repeated violations of the Shipping Act and the ongoing nature of some of these allegations, allowing the ID to stand would effectively sanction respondents' actions and allow the respondents to continue to engage in their modus operandi of defrauding innocent shippers.

As set forth below, complainants have indeed alleged and/or set forth sufficient facts that would support a finding that they entered into a contract of carriage to transport the Formula abroad, and that the Commission has jurisdiction of complainants' claims with respect to said vehicle, thus warranting that the Commission now reverse the ID and remand the matter for further proceedings.

As additionally set forth below, complainants have indeed alleged and/or set forth sufficient facts that establish that among other things, with respect to the Monterey and Chaparral, the sums set forth in the RFG invoices for the services provided by Solovyev were in excess of the amounts that MTL could lawfully charge for such services in its published tariff, *as no such evidence exists on the record to the contrary.*

II. RELEVANT PROCEDURAL HISTORY

Crocus International and Crocus FZE filed their Complaint on May 27, 2015 (annexed hereto as Appendix “3”), and Respondents filed their Answer on July 10, 2015. The parties engaged in discovery. The parties completed their briefing on the merits on February 25, 2016. On March 3, 2016, Complainants were ordered to file translations of document in languages other than English that they had included in their appendix. Complainants filed the translations on March 23, 2016.

On April 12, 2016, the parties were each ordered to file all shipping documents relating to the transportation of the Monterey and the Chaparral from Dubai back to the United States. On April 26, 2016, Complainants sought leave to amend their Complaint, which was denied. On May 13, 2016, the parties appeared by telephone for closing argument.

On June 17, 2016, the Presiding Officer issued the Initial Decision dismissing the Complaint, from which these Exceptions arise.

As explained in detail below, with regard to the subject Formula, complainants have established that there is a cognizable claim for relief under the Shipping Act. To use the expression of the late and great Elvis Presley, “Truth is like the sun. You can shut it out for a time, but it ain't goin' away.”

ARGUMENT

As the Commission is aware, in dismissing complainants’ § 40901(a) claim, the ALJ found that Mr. Solovyev: (1) acted as Marine Transport's agent in arranging for and collecting payment for ocean transport; and (2) as such, was not required to be licensed as a NVOCC. (ID at 19-21). In particular, the ALJ stated: "Because Solovyev made it known that he was acting as an agent for the disclosed NVOCC principal [Marine Transport], Solovyev did not hold himself or [Royal

Finance] out to the public to provide transportation and did not assume responsibility for Complainants' boats." (ID at 21). Up front, it should be noted that Solovyev's "agency" of MTL, whether it be via Car Express & Import Inc. and/or Royal Finance Group is problematic in that Royal Finance Group is located in Florida (where MTL, as a licensed NVOCC has not registered a field office with the Commission's records) and that Car Express does business on behalf of MTL throughout the fifty states (none of which, except for New Jersey is registered with the Commission's records).

With respect to complainants' §41102(c) claim, the ALJ found that: (1) Mr. Safonov knew the boats had arrived in New Jersey because he stated that information in an email to Mr. Solovyev; (2) storage at the New Jersey facility was contemplated by Marine Transport's tariff; (3) Respondents were not the common carrier for the transport from Dubai back to the United States and even if they were, international transportation ended when the boats arrived in New Jersey; and (4) any proposed agreement between the parties to transport the boats from New Jersey to Florida did not involve providing transportation by water between the United States and a foreign country and thus was not covered by the Shipping Act. (ID at pp. 21-26)

With specific regard to the Formula, the ID stated that:

"The record shows that Complainants originally intended to ship the Formula to Dubai for repair and resale. On August 7, 2013, RFG sent invoice 1189AT for payment in the amount of \$77,280 to Complainants' employee in Dubai, Andrey Tretyakov, reflecting \$56,280 for the Formula, \$3,500 for delivery, \$12,000 for loading/shipping to Dubai, UAE, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer to load the boat... Complainants wired \$59,780 on August 9, 2013, to RFG to pay for the Formula (\$56,280.00) and the cost of the delivery to the port of loading (\$3,500), and \$4,950 on December 4, 2013, to pay for the boat trailer." (ID at p.26).

The ID further explains as follows:

"Complainants never paid the \$12,000 for loading and shipping the Formula to Dubai or the \$500 for Commission and \$500 for documentation....Safonov subsequently reached the conclusion that Tretyakov, the Middle East Asia employee in Dubai, 'started to become

a crook,' and on February 2014, instructed Solovyev to ship the Formula to Miami instead...Therefore, Complainants and Respondents (MTL, Solovyev, or any of Solovyev's companies) never entered into an agreement to transport the Formula by water from the United States to a foreign port.” (ID at p. 26)

As set forth below, the findings of fact made by the ALJ in the ID conflict with the aforestated conclusion that an agreement never existed “to transport the Formula by water from the United States to a foreign port”. As specifically explained below, whether or not complainants paid the \$12,000.00 for loading and shipping the Formula to Dubai is not dispositive of whether or not a contract of carriage existed due to the unambiguous terms of MTL’s tariff for the payment of ocean freight. MTL’s tariff dictated that the method of payment ocean freight is “Prepaid Freight” or “Freight Collect”, neither of which obligated complainants to pay the \$12,000.00 to respondents prior to certain steps having been taken by respondents, which respondents failed to do in breach of the contract of carriage.

It is additionally noted that to the extent that complainants did in fact pay respondents twice for the purchase of a boat trailer for the Formula, to wit: by wire of \$5000.00 on August 13, 2013 and by wire of \$4950.00 on December 4, 2013, said monies were supposed to be credited towards the \$12,000.00 due and owing for ocean freight, which respondents simply retained without performing their contractual duties.

With respect to the Monterey and Chaparral, the ID stated that:

“MTL's only connection to the Dubai-United States shipment of the Monterey and Chaparral from Dubai to the United States established by the documents is as consignee. APL is the carrier, Middle East Asia Alfa, FZE, is the shipper, and AEC Cargo Services LLC is the forwarding agent...It is clear that MTL was contacted about the shipment through its agent Solovyev and that Solovyev and that Solovyev forwarded quotes to Tretyakov at Middle East Asia, but those quotes were for transportation by VOCCs Hapag Lloyd and Mediterranean Shipping Company. Another VOCC, APL, transported the boats and nothing connects Solovyev or MTL to the transportation by APL. Although Solovyev conveyed offers to Complainants, Complainants have not proved by a preponderance of the evidence that Middle East Asia shipped the Monterey and the Chaparral to the United

States using a carrier identified by Solovyev or that MTL assumed responsibility for transporting the boats.” (ID at p. 22)

Additionally, with respect to the Monterey and Chaparral, the ID states that:

“Regarding the fact that Solovyev sent the quotes, the Monterey and the Chaparral were transported by APL, not one of the VOCCs from which Solovyev obtained quotes. Other than the fact that MTL was named as consignee, no documentary evidence in the record links MTL to the transportation of the Monterey and the Chaparral by APL. When an NVOCC is involved in the transportation cargo, the VOCC bill of lading would normally identify the NVOCC as the shipper. The APL identifies Middle East Asia (not MTL) as the shipper and AEC Cargo Services LLC (not MTL or Emirates Logistics, the entity in Dubai that Solovyev contacted for rates) as the forwarding agent.” (ID at p. 23)

With respect to the Monterey and Chaparral, the findings of fact and conclusions drawn by the ALJ are erroneous in that they fail to consider that Solovyev acted as *local* or *regional* Freight Forwarder on behalf of complainants with respect to the return of the Monterey and Chaparral from Dubai to the United States. The record is also devoid of any evidence that complainants contacted the VOCC directly to obtain quotes for the return of the Monterey and Chaparral, *precisely* because that task was fulfilled by respondents.

A. THE ALJ ERRONEOUSLY DETERMINED THAT A CONTRACT OF CARRIAGE DID NOT EXIST FOR TRANSPORTING THE FORMULA BY WATER FROM THE UNITED STATES TO DUBAI

The ALJ's Findings of Fact

The following relevant findings of fact (“FF”) from the ID are set forth below for the Commission’s consideration on this issue:

Solovyev is the sole owner, officer, and director of Car Express & Import, Inc. (Car Express). (FF# 20, ID at p.11)

At the request of customers, Car Express purchases automobiles and boats from auctions ***and arranges on behalf of that customer for the transportation of the automobile or boat from the United States to a foreign country.*** (FF# 21, ID at p.11) (Emphasis added)
Solovyev is the sole owner, officer, and director of the owner of respondent Royal Finance Group, Inc. (RFG). (FF# 22, ID at p.11)

MTL's tariff provides that MTL's container freight station/container yard (CFS/CY) "may be a designated warehouse. Shipper, at its own expense, will deliver its vehicle to [MTL's]

designated warehouse for loading into the container for movement to the U.S. load port." (FF# 26, ID at p.12)

At times, Solovyev or one of his companies acts as agent for MTL. (FF# 28, ID at p.12) Safonov engaged **Solovyev and his three companies** to perform services for Safonov and his three companies to purchase used boats in the United States **and ship the boats to Dubai for repair and resale**. (FF# 29, ID at p.12)

Solovyev/Car Express, as agent for MTL, would arrange for the shipment of the boats to Dubai. (FF# 42, ID at p.13)

On August 7, 2013, Car Express purchased a 2010 Formula boat 34PC, VIN TNRD7870C010, for Safonov for a total of \$56,280. (FF# 74, ID at p.16)

Safonov bought the Formula with the intention of sending it to Dubai for repair and resale. (FF# 75, ID at p.16)

On August 7, 2013, RFG sent invoice 1189AT to Alexander Safonov, Crocus Investments for the purchase of a Formula boat 34PC, VIN TNRD7870C010. (FF# 76, ID at p.16)

The RFG invoice indicates that Alexander Safonov, Crocus Investments, was charged \$56,280 for the Formula and \$3,500 for delivery, a total of \$59,780. (FF# 77, ID at p.16) On August 7, 2013, RFG sent invoice 1189AT to Andrey Tretyakov, Dubai, UAE, Middle Asia Alfa for the purchase of the Formula. (FF# 78, ID at p.16)

The RFG invoice indicates that Andrey Tretyakov, Dubai, UAE, Middle Asia Alfa was charged \$56,280 for the Formula; \$3,500 for delivery, \$12,000 for loading/shipping to Dubai, \$500 for commission, \$500 for documentation, and \$4,500 for a trailer, a total of \$77,280. (FF# 79, ID at pp.16-17)

On August 9, 2013, Crocus Investments wired \$59,780 to RFG to pay for the Formula (\$56,280.00) and the delivery to the intended port of loading (\$3,500). (FF# 80, ID at p.17)

The Formula required a trailer for ocean shipment. (FF# 81, ID at p.17)

On August 13, 2013, Crocus FZE made a wire transfer of \$5,000.00, Fed Wire Out 028409, Reference Number W028409 0813. (FF# 82, ID at p.17)

In November 2013 Solovyev told Safonov he found a trailer for the Formula but Safonov did not like the trailer. (FF# 83, ID at p.17)

In December 2013, Solovyev found another trailer for the Formula that Safonov found acceptable. (FF# 84, ID at p.17)

On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$12,000 for loading and shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation, a total of \$13,000. (FF# 85, ID at p.17)

On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$4,950 for a boat trailer 2005 NTTRL YIN L W95141 for the Formula. (FF# 86, ID at p.17)

On December 3, 2013, RFG issued invoice #1204AS to Crocus FZE in the amount of \$4,950 for boat trailer 2005 NTTRL YIN LW95141, \$12,000 for loading/shipping the Formula to Dubai, \$500 for commission, and \$500 for documentation, a total of \$17,950. (FF# 87, ID at p.17)

On December 4, 2013, Crocus FZE wired \$4,950 to RFG to pay for boat trailer 2005 NTTRL YIN LW95141. (FF# 89, ID at p.17)

In reaching the decision to dismiss complainants' claims with respect to the subject Formula, the Presiding Officer states that: "Safonov decided that he did not want to deal with "crooks," so in February 2014 Complainants instructed Solovyev to ship the Formula to Miami." (ID at p. 17) The Presiding Officer then erroneously concludes that: "Therefore, Complainants and Respondents (MTL, Solovyev, or any of Solovyev's companies) never entered into an agreement to transport the Formula by water from the United States to a foreign port." Id. at p. 26.

It is respectfully submitted that in accordance with the standard of review set forth below, the findings of fact overwhelmingly demonstrate the existence of a contract of carriage for transport of the Formula by water from the United States to a foreign port, and that in the course of doing so, the respondents violated the Shipping Act by retaining monies for the preparation of shipping documents, the purchase of a boat trailer, and partial payment for loading and shipping to Dubai (which was not even required to be made until certain steps were taken by respondents) and by failing to fulfill their contractual duties. It was only *after* complainants realized that respondents were acting in bad faith, having decided that they were "crooks", that complainants decided to reroute the Formula to Miami. The Presiding Officer erroneously "hung his hat" on

complainants decision to stop doing business with respondents as a basis for finding that no contract of carriage existed and that the Commission did not have jurisdiction over the complaint.

Standard of Review

It is well settled that proof of a contract requires evidence showing that an offer was extended and accepted and that consideration changed hands. See, Vinmar Inc. v. China Ocean Shipping Co., 26 S.R.R. 420, 423 (FMC 1992) (citing contract law). It is additionally well settled that an implied contract (implied-in-fact) is a contract in which some or all of the terms are inferred from the conduct of the parties and the circumstances of the case, though not expressed in words. See, Tang v. Jinro Am., Inc., No. CV-03-6477, 2008 WL 4163183, at *4 (E.D.N.Y. 2008). An implied contract has the same legal effect as an express contract; it carries as much weight and is as binding as an express contract. Id. General contract law recognizes and enforces implied contracts. See, Id.; see also, 17A Am.Jur.2d Contracts § 12 (2007) (citing 1 Williston, Contracts § 1:5). An implied contract “is derived from the presumed intention of the parties as indicated by their conduct.” See, Russo v. Banc of America Securities, 2007 WL 1946541 at *4 (S.D.N.Y.2007) (citing Jemzura v. Jemzura, 36 N.Y.2d 496, 369 N.Y.S.2d 400, 330 N.E.2d 414 (1975)).

Implied contracts, of course, are not wholly without formal requirements. An implied contract, though not in writing, “still requires such elements as consideration [and] mutual assent.” See, e.g., Maas v. Cornell Univ., 94 N.Y.2d 87, 93-94, 699 N.Y.S.2d 716, 721 N.E.2d 966 (1999) (citing 1 Williston, Contracts § 1:5, at 22). Mutual assent “must be inferred from the facts and circumstances of each case, including such factors as the specific conduct of the parties, industry custom, and course of dealing.” See, Nadel v. Play-By-Play Toys & Novelties, Inc., 208 F.3d 368, 376 n. 5 (2d Cir.2000).

In determining whether there is an implied contract, courts must follow an “objective test, i.e., whether a reasonable man would think the parties intended to make such a new binding

agreement and whether they acted as if they so intended.” See, Martin v. Campanaro, 156 F.2d 127 (2d Cir. 1946); see also, Local Union 813, International Brotherhood of Teamsters v. Waste Management of New York, LLC, 469 F.Supp.2d 80, 84-85 (E.D.N.Y.2007). The fact that later negotiations failed does not preclude the existence of an implied contract. See, V'Soske v. Barwick, 404 F.2d 495, 499 (2d Cir. 1968) (the mere fact that the parties contemplate memorializing their agreement in a formal document does not prevent their informal agreement from taking effect prior to that event).

The Parties Acts Establish the Existence of a Contract of Carriage for the Formula

It is respectfully submitted that all of the facts and documentary evidence provided to Presiding Officer, as well as the Presiding Officer’s own findings of fact establish a textbook case of the existence of a contract (or implied contract) for transport of the Formula from the U.S. to Dubai, squarely within the meaning of the case law cited above.

As set forth above, but MTL acknowledged its understanding of complainants’ intent to ship the Formula, as well as its own intent to enter into an agreement for the ocean transport of the pleasure craft. It is undisputed that Solovyev and Car Express purchase automobiles and boats from auctions and arrange on behalf of that customer *for the transportation of the automobile or boat from the United States to a foreign country*. It is also undisputed that pursuant to MTL’s tariff, “[s]hipper, at its own expense, will deliver its vehicle to [MTL's] designated warehouse *for loading into the container for movement to the U.S. load port..*” and that complainants did, *at their own expense*, deliver the Formula to MTL’s warehouse *for loading into the container for movement to the U.S. load port*. Complainants also paid the sum of \$3500 pursuant to RFG Invoice No. 1189AT (CX031) for “delivery to the intended port of loading” (ID at p. 17 FF#80)

It is additionally undisputed that respondents charged complainants, and that complainants paid \$500 for the “preparation of “shipping documents” and that no “shipping documents” would have been required if a contract of carriage for the ocean transport of the Formula had not existed.

It is further undisputed that Solovyev as “agent” for MTL (or anyone else he purported to be “agent” of as it suited him at that particular moment) undertook the responsibility to purchase a boat trailer for the Formula, which he claimed was required in order to be able to load the Formula onto an ocean liner for export abroad, and that complainants paid the requisite \$4500.00 for the trailer, not once, but twice during the four (4) month period within which Solovyev was allegedly searching for a suitable trailer, on August 13, 2013 and December 4, 2013. With specific regard to facts regarding the trailer, it seems as though the Presiding Officer has seen fit to establish a precedent wherein an NVOCC or other person or entity acting in the capacity of Ocean Freight Forwarder (which also seems to be a role which Solovyev, via his acts, undertook regarding the Formula as explained below) can effectively “sit on their hands” and disregard their responsibilities to the shipper for months and simply allow storage charges to accumulate to their benefit. It also seems as though the Presiding Officer, in a myopic analysis of the facts has seen fit to penalize complainants for coming to the eventual conclusion that Solovyev was “crook” at which time complainants ultimately decided to send the Formula to Florida.

The Presiding Officer’s finding that complainants “never paid the \$12,000 for loading and shipping the Formula to Dubai or the \$500 for Commission and \$500 for documentation” is erroneous. In the first instance, the \$500 for “shipping documents” was paid within the wire of \$5000 on August 13, 2013 which was partial payment for RFG Invoice 1189AT which included charges of \$500 for documentation, and \$4,500 for a trailer. (ID at pp. 16-17, FF# 79, 82) (See also, paragraph “18” of respondents’ Answer to the Complaint). Additionally, the fact that the

\$12,000.00 for loading and shipping of the Formula was never paid is neither relevant nor dispositive on the issue of whether or not a contract of carriage existed for the ocean transport of the Formula. The parties conduct (on both sides) wherein overt acts and steps were taken for export of the Formula, such as payment for the trailer *at the request of Solovyev*, and payment for the preparation of “shipping documents” *at Solovyev’s request* is telling. With respect to the \$12,000.00, the Commission is respectfully referred to MTL’s tariff, a copy of which is annexed hereto as Appendix “4” (which was included in the record below as CX184-CX185 and Resp 097-Resp 098) wherein it is *crystal clear* that the terms of payment of freight charges to MTL were either “Prepaid Freight” or “Freight Collect” as explained below:

“D. PREPAID FREIGHT

1. When freight monies and charges are prepaid, such payment shall be made not later than the time of release of any original Ocean Bill of Lading by the carrier to the shipper or his duly authorized licensed Freight Forwarder or Agent acting in his behalf.
2. When freight and charges are billed prepaid they shall be paid in U.S. dollars.

E. FREIGHT COLLECT

All freight and charges which are billed on a freight collect basis must be paid in full in U.S. Dollars, or in a currency acceptable to the carrier provided such currency shall be unblocked, freely convertible and freely remittable free of tax into U.S. Dollars, for the complete originally issued Bill of Lading quantity prior to release of cargo or any portion thereof.”

The clear unequivocal terms of MTL’s tariff state that complainants were obligated to pay the \$12,000 for “loading and shipping” either “prior to release of the cargo” under a Freight Collect contract, or “not later than the time of release of any original Ocean Bill of Lading by the carrier to the shipper or his duly authorized licensed Freight Forwarder or Agent acting in his behalf” under a Freight Prepaid contract. As such, the absence of complainants’ payment of the \$12,000.00

proves nothing and means nothing, and accordingly are not grounds for finding that a contract of carriage did not exist for ocean transport of the Formula.

B. SOLOVYEV ADDITIONALLY OPERATED IN THE CAPACITY OF OCEAN FREIGHT FORWARDER WITH RESPECT TO THE SUBJECT SHIPMENTS AND IN DOING SO, VIOLATED THE SHIPPING ACT

As set forth below, the facts establish that respondent Solovyev operated in the capacity of OFF, and not merely as “agent” of MTL with respect to the transport of the Monterey and Chaparral boats from the United States to Dubai, as well as during their transport back to the United States from Dubai, and in the course of doing so, violated the Shipping Act.

Additionally, and with respect to the Formula, the facts establish that the Formula was placed into the custody and control of Solovyev/MTL *solely* for purposes of export (issuing an invoice which included “loading and shipping to Dubai” and charging complainants \$500 for the preparation of “Shipping Documents” as admitted to by respondents in paragraph “18” of their Answer to the Complaint), which would have a material impact on the Presiding Officer’s determination that MTL’s tariff was not applicable to storage of the boat (and which complainants respectfully submit *should* apply), and pursuant to which MTL was authorized to charge only \$20 per day for storage. (ID p. 19 FF#103)

As explained below, the reason that the boat remained in storage is that it was waiting for a trailer for purposes of export, and that would have been undertaken by the MTL/Solovyev group. It was only *after* the boat sat in storage *for approximately four months*,¹ that Solovyev, *for the first time*,² purported that the boat could not be exported unless a trailer was secured for it, and

¹ The Presiding Officer states that “In November 2013 Solovyev told Safonov he found a trailer for the Formula but Safonov did not like the trailer” (See, ID at p. 17, ¶ 83).

² Safonov testified during his deposition that Solovyev “initially” found a trailer in November which Safonov did not like (See, Appendix “5” which contains Deposition Testimony of Alexander Safonov, dated December 3, 2015, p. 64/ln. 16-20, annexed to Respondents Proposed Findings of Fact and Appendix as page “RX72”)

notwithstanding that Solovyev collected monies for the trailer months prior, he charged complainants a *second* time for the trailer which was ultimately never provided.

Additionally, the facts establish that Solovyev operated in the capacity of OFF with respect to the Formula, which was purchased by Solovyev for complainants and delivered to Solovyev's warehouse (as arranged *solely* by Solovyev) for purposes of export to Dubai. The facts also establish that Solovyev collected monies from complainants for "Shipping Documents" in the amount of \$500 for the Formula³ and for which he undertook the responsibility of immediately preparing for shipment (via containerization or securing by a special trailer so that it could be loaded onto an ocean liner for transport). Solovyev did not raise the issue of the need for a trailer until approximately four months after the boat was placed into storage at his warehouse. Solovyev's deliberate failure to secure a trailer for the Formula was a violation of the Shipping Act, and the additional facts also establish that Solovyev collected monies *twice* for the trailer that was *never provided*.

Complainants respectfully submit that Solovyev's purpose in acting in this manner and failing to provide a trailer was to allow Solovyev to be in a position where he could "jack up" storage fees and ultimately refuse to release the boat unless complainants agreed to pay storage charges in an amount approximately equal to the value of the boat.

These facts have a material impact on the section of the ID in which the Presiding Officer had found that Solovyev, as "agent" for MTL had not violated the Shipping Act.

Duties of an Ocean Freight Forwarder

46 CFR §515.2 reads in relevant part, as follows:

Freight forwarding services refers to the dispatching of shipments on behalf of others, in order to facilitate shipment by a common carrier, which may include, but are not limited to, the following:

³ See Respondents Answer to the Complaint, dated July 10, 2015, ¶ "18".

- (1) Ordering cargo to port;
- (2) Preparing and/or processing export declarations;
- (3) Booking, arranging for or confirming cargo space;
- (4) Preparing or processing delivery orders or dock receipts;
- (5) Preparing and/or processing ocean bills of lading;
- (6) Preparing or processing consular documents or arranging for their certification;
- (7) Arranging for warehouse storage;
- (8) Arranging for cargo insurance;
- (9) Clearing shipments in accordance with United States Government export regulations;
- (10) Preparing and/or sending advance notifications of shipments or other documents to banks, shippers, or consignees, as required;
- (11) Handling freight or other monies advanced by shippers, or remitting or advancing freight or other monies or credit in connection with the dispatching of shipments;
- (12) Coordinating the movement of shipments from origin to vessel; and
- (13) Giving expert advice to exporters concerning letters of credit, other documents, licenses or inspections, or on problems germane to the cargoes' dispatch.

It is well settled that an ocean freight forwarder “is an entity that arranges transportation of goods on behalf of a shipper from a United States location to an overseas location. The freight forwarder, acting as the *shipper's* agent, takes delivery of the goods, routes them to their destination, prepares documentation, arranges for any necessary storage, and completes any other tasks relating to the movement of the goods. Freight forwarders *must be licensed by the Federal*

Maritime Commission... and are strictly regulated...”. See, United States v. Ventura, 724 F.2d 305, 306, 1983 U.S. App. LEXIS 14524, *3-4, 1984 AMC 645 (2d Cir. N.Y. 1983).

It is additionally well settled that in order to discern whether a party has acted as an ocean freight forwarder or a non-vessel operating common carrier, a Court may consider the following factors: (1) the way the party's obligation is expressed in documents pertaining to the agreement; (2) the history of dealings between the parties; (3) issuance of a bill of lading; and (4) how the party made its profit and, in particular, whether the party acted as 'agent of the shipper . . . procuring transportation by carrier and handling the details of shipment for fees which the shipper paid in addition to the freight charges of the carrier utilized for the actual transportation. See, Zima Corp. v. M. V. Roman Pazinski, 493 F. Supp. 268, 273 (S.D.N.Y. 1980) (quoting Chicago, Milwaukee, St. Paul & Pacific R.R. Co. v. Acme Fast Freight, Inc., 336 U.S. 465, 484, 69 S. Ct. 692, 93 L. Ed. 817 (1949)); Ca' de Be' Imps., Inc. v. Zim-American Israeli Shipping Co., 2006 U.S. Dist. LEXIS 127, 2006 WL 23547 (E.D. Pa. 2006).

While Acting in the Role of OFF, Solovyev Breached His Fiduciary Duty to the Complainants

One of the central issues to this proceeding is whether Solovyev, while acting as an OFF, had a fiduciary duty to the complainants. It is respectfully submitted that this question must be answered in the affirmative.

Courts have routinely held that “a shipper retains a freight forwarder because of the freight forwarder's expertise in securing the dispatch of cargo to a foreign destination. Because of this expertise and the freight forwarder's greater access to information from NVOCCs and VOCCs, the shipper relies on the freight forwarder's representations regarding the suitability, efficiency, and economy of using certain carriers, the availability of ships, and other matters relating to the shipment. Moreover, because of the shipper's inability to monitor every step in the shipping

process, the freight forwarder must often make arrangements for shipment details without express approval for these arrangements from the shipper. The freight forwarder thus exercises considerable control over the transport-related decisions of the shipper.” See, United States v. Ventura, 724 F.2d 305, 310–11 (2d Cir. 1983).

The relationship between a shipper as principal and freight forwarder as agent has been described to be a fiduciary relationship of the “greatest trust and fidelity” where the freight forwarder “has the obligation of trying to obtain for the shipper the cheapest and the most efficient and most economical transportation that he can.” Id. Recognizing the nature of this relationship, courts have described freight forwarders as “agents of the shipper” for the purposes of arranging cargo transport, United States v. American Union Transport, Inc., 327 U.S. 437, 443, 66 S.Ct. 644, 647, 90 L.Ed. 772 (1946), and as, essentially, “export departments for their shipper clients,” New York Foreign Freight Forwarders and Brokers Ass'n v. Federal Maritime Comm'n, 337 F.2d 289, 292 (2d Cir.1964), *cert. denied*, 380 U.S. 910, 85 S.Ct. 893, 13 L.Ed.2d 797 (1965).

As set forth in detail herein, it is clear that Solovyev was retained by complainants, with whom complainants solely dealt with on an exclusive basis regarding the securing of dispatch of the boats to a foreign port abroad, and also for the return of the subject boats to the U.S. Because of Solovyev’s expertise and his access to information from NVOCCs and VOCCs, complainants relied on Solovyev’s representations regarding the suitability, efficiency, and economy of using certain carriers, the availability of ships, and other matters relating to the shipment. For example, and as explained herein, complainants relied upon Solovyev’s expertise when it came to the requirements for exporting the Formula boat which Solovyev purchased on behalf of complainants and had delivered to his warehouse in preparation for export.

To the extent that Solovyev purported to hold himself out “to the public” to be an “agent” of MTL, it is submitted that any breach of his fiduciary duty would be imputed to MTL. It is well settled that the acts of an agent are imputed to the principal if the principal adopts the unauthorized act of his agent in order to retain a benefit for himself. *See, In re S. African Apartheid Litig.*, 633 F. Supp. 2d 117 (S.D.N.Y. 2009). *See, also Apollo Fuel Oil v. United States*, 195 F.3d 74 (2d Cir. 1999); (when agent is employed to perform certain duties for his principal and acquires knowledge material to those duties, agent's knowledge is imputed to principal).

Solovyev as OFF for Shipment of the Monterey and Chaparral from Dubai back to the United States

Solovyev Performed Customs Clearance, Engaged in Unloading and Other OFF Activities for the Subject Boats

As set forth herein, Solovyev acted as *local* or *regional* OFF on behalf of complainants with respect to the return of the Monterey and Chaparral from Dubai to the United States. At the time of the return of the boats to the United States, MTL was already in possession of the Vessel Bills of Sale (CX018) and other related shipping paperwork which Solovyev presented to the customs broker (Flora & Fauna) and which were required to establish that the boats were American goods being returned to the U.S.⁴ MTL was also listed as the “notify” party on the ocean liner bill of lading for the boats. These are services that AEC Cargo Services LLC (“AEC”), identified in the ID as the “freight forwarder” on the ocean liner bill of lading, could not provide in that AEC was the overseas licensed agent of complainants, without which complainants could not export the boats from Dubai.

⁴ Under U.S. Customs Rules and Regulations this must be done 48 hours in advance of the arrival of the cargo to the U.S. as noted by the Presiding Officer on pages 70-71 of the May 13, 2016 Oral Argument Transcript, annexed hereto as Appendix “6”.

The fact that Solovyev had acted in the capacity of OFF (“regionally” within the United States and jointly together with AEC) with respect to the shipment of complainants’ boats from Dubai to the United States was admitted and confirmed by MTL’s President, Alla Solovyeva, who explained during her deposition that AEC was the “regional shipper” (alternatively stated, as the FF solely to the extent that the transaction was governed by the law of Dubai) as follows:

“...Every country has its own rules, and you, as an individual, are not allowed to send anything out of the country in Dubai. I believe so. Without a proper party. And I believe that the proper party in this case is supposed to be a company. **Usually this company is the agent, and it is a proper agent with the agent license overseas. So this agent was with the agent's license overseas, can file electronically shippers export declaration, and then if-in this case, they can act as the regional shipper when the cargo is coming back.**” (See, Appendix “5”, Deposition Transcript of Alla Solovyeva of November 19, 2015 annexed to Respondents’ Appendix on page RX23, Transcript p. 71/ln.11-25) (emphasis added).

In accordance with the foregoing, it was indeed AEC that filed the Shipper’s Export Declaration for the two boats with the United Arab Federal Customs Authority in Dubai.⁵

Alla Solovyeva further admitted to having performed the duties of an OFF upon arrival of the subject boats with respect to the unloading of said boats at the port in New York:

“...So whether my company is the consignee or the agent for the import, my job is to unload the cargo, to act as the proper agent and provide with the unloading...” (See, Appendix “5”, Deposition Transcript of Alla Solovyeva of November 19, 2015 annexed to Respondents’ Appendix on page RX24, Transcript p. 75/ln.16-20)

Consequently, and in that the shipment was initiated in Dubai, and under the rules and regulations of the UAE, it made perfect sense for AEC, as “regional” shipper or “regional” OFF to be listed as the freight forwarder on the ocean liner bill of lading for the shipment of the two boats from Jebel Ali to New York. Additionally, these facts do not conflict with respondents herein having

⁵ The Commission is asked to take note of the UAE customs declaration which was filed when MTL had initially been involved in exporting the boats to Dubai. This indicates that Solovyev was familiar with and had selected AEC Cargo Services LLC to be the clearing agent when the boats were exported by MTL. (See, Appendix “7”). This also indicates that MTL and Solovyev were involved with the return of the boats to the U.S. in that AEC was the FF on the ocean liner bill of lading for the import of the boats to the U.S. after they had been repaired in Dubai. (See, Appendix “8”, marked as Respondents’ RX05).

acted as the “regional” OFF in the United States and thus “regionally” responsible for the ocean transport of the cargo and delivery to its ultimate point of destination, to wit: respondents’ warehouse.

Respondents Violated Section 41102(c) of the Shipping Act With Respect to the Monterey and Chaparral

It is respectfully submitted that the facts provide a basis for the Presiding Officer to find that the respondents violated the Shipping Act with respect to the 2011 Monterey and the 2008 Chaparral in that the facts establish that respondents’ connection to the shipment of the two boats was not limited solely to MTL being identified as “consignee” on the ocean liner bill of lading for the shipment, and that Solovyev and WEC functioned in the capacity as “regional” Ocean Freight Forwarder (“OFF”) *here in the United States* with respect to the shipment of the two boats from Dubai to the United States. The fact that AEC Cargo Services LLC (“AEC”) was listed as “freight forwarder” in the ocean liner bill of lading is not dispositive, and does not conflict with Solovyev (together with MTL) having acted as OFF with respect to the shipment of the two boats, thus making them liable for violations of the Shipping Act and subject to the jurisdiction of the Commission.

Specifically, the responsibility of AEC and Solovyev/MTL had overlapped in that AEC was responsible as “regional” FF for the shipment from the Jebel Ali port of loading in Dubai to the port of unloading in New Jersey; and that Solovyev/WEC/MTL as “regional” FF in the United States were responsible for the shipment from Jebel Ali to the final *point* of destination, to wit: MTL’s warehouse in New Jersey.⁶ This was confirmed by Alexander Safonov in his Certification submitted in response to the Order to Supplement the Record served on Complainants on April 12,

⁶ It was discovered for the first time during discovery in these proceedings that the cargo was stored at WEC’s warehouse and not at MTL’s warehouse as complainants were originally led to believe.

2016, a copy of which is annexed hereto as Appendix “9”, wherein he explained, in paragraph “5” therein that he “agreed to the proposal made by Alexander Solovyev with the understanding that Marine Transport Logistics, Inc. (hereinafter “MTL”) will arrange for the shipment of the boats from Dubai, UAE and the boats will be picked up and held by MTL in the USA.”

Consequently, Solovyev, both individually and as “agent” of MTL, acted as an OFF with respect to the shipment of the 2011 Monterey and the 2008 Chaparral from Dubai to the United States, during the course of which, the respondents violated the Shipping Act by overcharging for customs clearance fees, port fees, storage, and other charges for sums either in excess of amounts set forth within respondents’ tariffs or not contained within respondents’ tariffs at all.

Specifically, the Commission is respectfully referred to the APL rated Bill of Lading, (Appendix “8”) submitted by respondents in their Appendix to their proposed findings of fact as (RX05 and RESP 006) and an Invoice from RFG to complainants, annexed hereto as Appendix “10” and submitted by complainants in their Appendix to their proposed findings of fact as (CX107). The Commission can clearly see that while the APL rated Bill of Lading lists a “Port Fee” in the amount of \$12.00 to be collected prior to release of the cargo, the RFG Invoice contains a charge for the Port Fee in the sum of \$750.00.

Additionally, and with respect to fees involving custom and related fees for the Monterey and Chaparral, the Presiding Officer found as follows:

On July 23, 2014, Fauna & Flora Customhouse issued an invoice to MTL in the amount of \$615.70 for custom and related fees for the Monterey and Chaparral. (ID at p. 16, FF#69)

On August 26, 2014, MTL paid \$615.70 to Fauna & Flora Customhouse for duty, custom entry service fee, bond preparation, and ISF bond for the Chaparral and the Monterey. (ID at p. 16, FF#70)

As the Commission can clearly see, while respondents were charged and paid \$615.70 for custom and related fees, they in turn charged complainants \$1,200.00 for same.

It is respectfully submitted that respondents' overcharging for port fees, custom and related fees is a violation of the Shipping Act. See, e.g., Tadeusz A. Pawlowicz v. William Allen (ABU W. Garcia) (6/15/93, FMC) Informal Docket No. 1725(I); (Shipping company's handling of customer's shipment of antique maps constituted violation of former 46 USCS Appx § 1709(b)(6)(E) where invoice received by customer was more than twice amount stated on bill of lading (most of which was attributable to higher crating costs), and customer repeatedly tried to contact company and was either ignored or told to contact crating company directly).

Solovyev, as Freight Forwarder, Breached His Duties to the Complainants With Respect To the Trailer for the Formula

As set forth in the ID, it is undisputed that Solovyev performed various OFF tasks set forth above with respect to the Formula. Solovyev's OFF duties included: (1) arranging for delivery of the Formula from the auction warehouse to the port of loading for the sum of \$3500.00; (2) the providing of expert advice to the complainants, for example advice on the need for proper container for loading the Formula onto an ocean liner, or for a trailer so that the Formula could be exported to Dubai; and (3) the preparation of shipping documentation in that at the time that the Formula was placed into Solovyev's custody and control for export, Solovyev also collected \$500 for preparation of "Shipping Documents"; and (4) collecting an additional \$4500.00 that respondents failed to apply to the \$12,000.00 that was due for loading and shipping the Formula to Dubai.

Respondent Solovyev's unlawful actions fall within the jurisdiction of the Commission in that as set forth below, Solovyev was acting in the capacity of freight forwarder with respect to the 2010 Formula 34 PC boat. During the course of carrying out his responsibilities as freight forwarder, he breached his duty (including the duty of good faith and fair dealing) to the complainants, resulting in his violation of the Shipping Act.

The facts establish that respondents violated §41102 of the Act by collecting monies for services related to export of the Formula, such as the procuring of a boat trailer and preparation of shipping documentation but failed to provide any services. See, Alexandre Kaminski v Keystone Limited, (6/23/93, FMC) Informal Docket No. 1739(I) (shipping company that collected money from customer but failed to provide any services in return violated former 46 USCS Appx § 1709(d)(1)); Corpco International, Inc. v Straightway, Inc., (6/8/98, FMC) Docket No. 97-05 (violation of former 46 USCS Appx § 1709(d)(1) may be found where non-vessel-operating common carrier (NVOCC) has agreed to ship cargo and has been paid to do so, but cargo cannot be delivered because NVOCC's agents refuse to issue negotiable bill of lading required to secure delivery).

Soloveyv's Breach of His Duty of Good Faith and Fair Dealing

In the first instance, the Commission is further respectfully requested to take note of the admission made by respondents in paragraph "18" of their Answer herein in which respondents admit that on August 13, 2013: "complainant wire transferred \$5000.00 to RFG, which reflected payment of \$4,500 for a trailer upon which the boat would be secured and a \$500 shipping documentation charge." (The Wire Transfer Notice for the \$5000 is included in complainants' CX 114). Additionally, the \$500 shipping documentation charge collected by Soloveyv establishes that ***funds were collected for preparation of shipping documentation to send the Formula to Dubai.***

Monies Contained Within the Wire of \$5000.00 from Complainants to the Respondents Meant for the Purchase of a Trailer for the Formula Should Have Been Credited Towards Monies Due and Owing for Loading and Shipping to Dubai

In further support of complainants' request that the Commission reverse the erroneous finding in the ID that no contract of carriage existed for the transport of the Formula to Dubai, the Commission is respectfully asked to consider the Presiding Officer's findings of fact (#'s 82, 84, 85, 86, 87, 88 and 89) and the conclusions that can be drawn therefrom regarding the boat trailer for the Formula, which Solovyev claims to have located for complainants and for which complainants wired to respondents the additional sum of \$4950.00.

Complainants have argued throughout these Exceptions that Solovyev received a wire of \$5000.00 in August of 2013 (consisting of \$4500 for the trailer for the Formula and \$500 for shipping documentation) and kept said funds for over four months without purchasing the trailer, and that Solovyev ***collected funds twice for the trailer***, as explained by the Presiding Officer on page "5" of the Initial Decision, that "[o]n December 4, 2013, Crocus FZE wired \$4,950 to RFG to pay for boat trailer 2005 NTTRL VIN LW95151." Complainants additionally submit that to the extent that the first payment of \$4500.00 for the trailer was not credited towards the trailer, which respondents simply retained, said monies should have been credited towards the \$12,000.00 invoiced by RFG to complainants for loading and shipping the Formula to Dubai.

It is additionally submitted that Solovyev made misrepresentations to Complainants in order to justify the excessive storage charges now levied upon complainants by Soloveyv via WEC, which is a licensed NVOCC and OFF under the exclusive control of Solovyev.

46 CFR §515.31 reads, in relevant part, as follows:

No licensee shall prepare or file or assist in the preparation or filing of any claim, affidavit, letter of indemnity, or other paper or document concerning an ocean transportation intermediary transaction which it has reason to believe is false or fraudulent, nor shall any such licensee knowingly impart to a principal, shipper, common carrier or other person,

false information relative to any ocean transportation intermediary transaction. ... (i) Accounting to principal or shipper. Each licensee shall account to its principal(s) or shipper(s) for overpayments, adjustments of charges, reductions in rates, insurance refunds, insurance monies received for claims, proceeds of C.O.D. shipments, drafts, letters of credit, and any other sums due such principal(s) or shipper(s).

While the Presiding Officer noted, in finding of fact number “84” that “[i]n December 2013, Solovyev found another trailer for the Formula that Safonov found acceptable (RX 72 (Dep. of Safonov 64:20-24)...” this finding of fact was based *solely* upon complainants’ deposition testimony which explained that Solovyev emailed complainants photos of a trailer which complainants found “good or proper” and “suitable”.

Aside from complainants’ deposition testimony regarding receipt of photos of the trailer, there is no evidence on the record other than the invoice created by RFG for the purported sale of the trailer to complainants which supports a finding that a trailer was ever purchased by Solovyev. Absent from the record is any purchase invoice from RFG or the other respondents for the purchase of the trailer, proof of payment by respondents to the seller of the trailer, no title or any other documentation that respondents actually purchased same.

Solovyev Did Not Obtain Title to the Formula until Two (2) Years After He Allegedly Undertook Responsibility to Export the Boat to Dubai

A final point that this Commission is respectfully asked to note is that while complainants may have paid Solovyev in 2013 for the purchase of the Formula described herein, and while respondents issued invoices for monies allegedly due for services rendered with respect to the boat, such as delivery to the port of loading, the preparation of shipping documents, loading and shipping to Dubai, and the purchase of a boat trailer in 2013, that Solovyev and respondents did not obtain title to the boat until two years after the boat was allegedly purchased by Solovyev for complaints, to wit: title was obtained in April 28, 2015 (See Resp. 027, a copy of which is annexed hereto as Appendix “11”).

The Commission may recall an action alleging Shipping Act violations that was brought against respondent MTL in 2012, captioned as Samir Abusetta d/b/a Sammy's Auto Sales v. JAX Auto Shipping, Inc. and Marine Transport Logistics, Inc. (FMC Informal Docket No. 1932(I)) wherein the Commission issued an Order on October 18, 2016 reversing, in part, the decision of the Settlement Officer.

In the first instance, it is respectfully submitted that the allegations in Abusetta, supra, are similar to the allegations in the case at bar, wherein complainant in that matter alleged that JAX Auto Shipping, Inc. (“JAX”) and MTL violated 46 U.S.C. § 41102(c), by: (1) losing title to his vehicle; (2) failing to ship four of his vehicles; (3) failing to provide timely notification or warehouse storage charges; and (4) failing to ship his container to Jordan. Id. at 2. The role played by JAX in that matter is analogous to that played by Solovyev in the case at bar, wherein JAX was responsible for arranging for the shipment of Claimant's cargo to Jordan through MTL, arranged for Claimant's vehicles to be stored at MTL’s designated warehouse, and sent export documentation to MTL. Id. at 6. In that case, the Commission found that JAX acted as an OFF in connection with claimant’s shipment and was therefore an OTI. Id.

Additionally, in Abusetta, supra, Claimant delivered vehicles to MTL’s designated warehouse which, however, were not shipped due to a missing car title. Id. at 4. JAX notified Claimant on several occasions that the title to one of the vehicles was missing. Id. Instead of providing JAX with the title, or a duplicate title, for the vehicle, Claimant spent months contacting Respondents to determine who lost the title to the vehicle. Id. Eventually, Claimant ordered a duplicate title for the vehicle and mailed that title to MTL, who notified JAX that Claimant needed to pay storage fees in order for MTL’s designated warehouse to release Claimant's cars for

shipment. Id. JAX then notified Claimant he needed to pay \$10,000.00 in storage fees before his four vehicles could be shipped. Id. at 5.

The Commission then determined that JAX failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property by failing to notify claimant of the accrual of storage charges during the months that claimant spent contacting the respondents in order to determine who lost title to the vehicle. Id. at 6. In discussing the erroneous finding of the Settlement Officer below that claimant had a duty to mitigate damages, the Commission disagreed, relying upon Adenariwo v. Federal Maritime Commission, 808 F.3d. 74, 79-80 (D.C. Cir. 2015) and explaining that “mitigation of damages is inapplicable when the defendant has acted unlawfully and has the primary responsibility and equal opportunity to perform an act that it knows will avoid damages” (Id. at 8) and further explained that requiring the Claimant to pay the storage fees to release his cargo, fees that the Commission has determined resulted from an unlawful action, is akin to requiring the Claimant in Adenariwo to pay the demurrage fees in order to retrieve its cargo, a position the D.C. Circuit found untenable. (Id. at 10, citing to Adenariwo, 808 F.3d at 80). With specific regard to JAX, the Commission found that JAX “had an equal, if not greater, opportunity to prevent Claimant's loss of cargo. When Jax failed to notify Claimant that storage fees were accruing on the shipment, and thereby violated the Shipping Act, it had the primary responsibility to avoid the resulting damages from negatively impacting Claimant...”. Id.

It is respectfully submitted that the matter of Abusetta, *supra*, is instructive for a number of reasons. In the first instance, Solovyev’s failure to obtain title to the Formula until two years after it was sold to complainants did result in MTL’s inability to export the vessel abroad, and this information was secreted by respondents, who instead proffered an excuse for not doing so, to wit:

that a trailer was necessary for exporting the boat. As set forth above, complainants paid Solovyev twice for the trailer during the four month period between August and December of 2013, and Solovyev took no actions to procure the trailer during that time.

Additionally, and as described in Abusetta, *supra*, the respondents never notified complainants of the accrual of storage charges until August 13, 2014 (ID p. 18 FF#97). Akin to JAX, Solovyev “had an equal, if not greater, opportunity to prevent [complainants’] loss of cargo.”

Accordingly, the foregoing further serves to establish that not only did Solovyev, as “agent” for MTL, perform various OFF duties and assume responsibility for the ocean transport of the Formula, but in the course of doing so, respondents violated the Shipping Act as described above.

The Fact That the Formula Was Temporarily Placed Into Storage by Complainants Does Not Change the Character of the Shipment - - The Formula Was Destined For Export

It is well settled that that, in determining whether a particular movement of freight is interstate or intrastate or foreign commerce, the intention existing at the time the movement starts governs and fixes the character of the shipment. See, State of Texas v. Anderson, Clayton & Co., 92 F.2d 104 (5th Cir. 1937); (shipper intended cotton for export when cotton sent from Rochester, Texas to Houston; thus not an intrastate shipment). Temporary stoppage within the state, made necessary in furtherance of the interstate carriage, does not change its character. Id. (shipper intended cotton for export when cotton sent from Rochester, Texas to Houston; thus not an intrastate shipment), cert. denied, 302 U.S. 747, 58 S. Ct. 265, 82 L. Ed. 578 (1937). See also, Swift Textiles, Inc. v. Watkins Motor Lines, Inc., 799 F.2d 697, 698 (11th Cir. 1986) (finding that “nature of a shipment” is determined by the “intention formed prior to shipment” pursuant to which the property is carried to a selected destination by a continuous or unified movement).

Against the backdrop of the foregoing case law and as explained below, it is respectfully submitted that Solovyev's actions with respect to the Formula were indeed a violation of the Shipping Act, and that the fact that the Formula was placed into storage temporarily pending export to Dubai, does not abrogate from the Commission's jurisdiction over this particular shipment. The Commission is additionally respectfully urged to take note of the fact that respondent, Solovyev did not charge the complainants any sales tax for the sale of the boat to complainants in light of the parties understanding and intent that the boat be exported to Dubai.⁷⁸

A seminal case on point applying the "intent" test is N. Carolina Utilities Comm'n v. United States, 253 F. Supp. 930, 933 (E.D.N.C. 1966) (three-judge district court). In NCUC, a retail hardware chain received an order of iron and steel products from Belgium for distribution to eight retail stores located in various inland North Carolina cities. The order arrived by ocean carrier at the port of Wilmington, N.C. and was stored in facilities owned by the State Ports Authority for several days while the retail chain conducted an updated inventory needs determination at its various outlets. The goods then were loaded onto trucks and shipped under new bills of lading to each of the eight stores. The issue before the Court was whether the transportation by truck "from Wilmington to the various inland cities was intrastate or a "continuation of foreign commerce." The Court applied a "totality of the circumstances test, citing to Atlantic Coast Line R.R. Co. v. Standard Oil Co., 275 U.S. 257, 268–69, 48 S. Ct. 107, 110, 72 L. Ed. 270, 275 (1927), and held that the truck shipments represented a "continuation of foreign commerce" because they were intended to be part of the larger Belgium to inland North Carolina import shipment.

⁷ See, ID at p. 16, ¶¶ "76" and "79" where the Presiding Officer explains that RFG sent invoice 1189AT to complainants for the purchase of the Formula and that complainants were charged \$56,280 for the Formula, plus \$3,500 for delivery and \$12,000 for loading/shipping to Dubai.

⁸See also, RFG invoice 1189AT annexed to Complainants Proposed Findings of Fact, Brief, and Appendix, dated January 15, 2016 at appendix p. CX009.

It is additionally respectfully submitted that the period *prior to loading* is governed by maritime law, i.e. The Harter Act. The Harter Act applies to those extended periods of time *before and after* the loading of the cargo on board the vessel and the unloading from the vessel. 1-4 Goods in Transit § 4.02 (2015); 46 U.S.C. § 190–194 recodified at 46 U.S.C.S. § 30701–30707. It is well settled that the Harter Act applies to international shipments. See, e.g. Fed. Ins. Co. v. Great White Fleet (US) LTD., 2008 U.S. Dist. LEXIS 58461, *29, 2009 AMC 447 (S.D.N.Y. 2008).

CONCLUSION

In closing, and as set forth herein, the record demonstrates that a contract of carriage existed between the parties for the ocean transport of the Formula from the United States to Dubai. The Presiding officer erroneously failed to consider, among other things, that (1) the complainants requested that respondents purchase the Formula with the agreement that it would be exported overseas; (2) respondents did in fact undertake to purchase the boat and subsequently issued invoices to complainants which were paid by complainants; (3) the boat was delivered to respondents' warehouse at complainants' expense; and (4) respondents took additional steps that were specifically geared towards export of the boat, such as charging complainants for the preparation of "shipping documents" and the purchase of a boat trailer so that the Formula could be loaded onto an ocean liner, and said sums were paid by complainants.

In course of accepting responsibility for the ocean transport of the Formula, the respondents violated the Shipping Act, for example, the facts establish that respondents did not obtain title for the Formula until 2015 *until two years after they undertook responsibility for exporting the boat to Dubai*. The facts also establish that respondents violated §41102 of the Act by collecting monies for services related to export of the Formula, such as the procuring of a boat trailer and preparation

of shipping documentation but failed to provide said services. With specific regard to the boat trailer, the facts also establish that respondents collected monies from complainants twice for the purchase of the trailer, and failed to credit sums not used for the purchase of same towards the \$12,000.00 due for loading and shipping to Dubai.

The facts as set forth herein also establish that the Presiding Officer erroneously determined that the failure to pay the \$12,000.00 due for loading and shipping to Dubai was evidence of the absence of exchange of consideration required for the formation of a contract of carriage. That conclusion is contradicted by the terms of MTL's tariff which required that freight be "Prepaid Freight" or "Freight Collect" as explained above. Additionally, the Presiding Officer in erroneously deciding that the Commission does not have jurisdiction over the complaint, "hung his hat" on complainants decision to reroute the subject boats to Florida after respondents failed to perform their contractual duties, leading complainants to decide that respondents were "crooks".

Further and with respect to the Monterey and Chaparral, the facts establish that respondent Solovyev operated in the capacity of OFF, and not merely as "agent" of MTL with respect to the transport of the Monterey and Chaparral boats during their transport back to the United States from Dubai, and in the course of doing so, violated the Shipping Act. As set forth in the ID, it is undisputed that Solovyev performed various Ocean Freight Forwarder tasks with respect to the transport of the boats from Dubai back into the United States after the boats were repaired in Dubai. Among other things, Solovyev arranged for warehouse storage, provided documents for clearance of the boats through UAE Customs on export and through U.S. Customs upon return from Dubai (including among other things the Vessel Bills of Sale), and handled (via RFG) the payment of ocean freight and other monies, including customs duties, from complainants. During the course of performing these duties respondents overcharged complainants for port fees (overcharging

almost sixty times the amount paid by respondents to the VOCC), custom duties and other custom related fees (overcharging approximately twice the amount paid by respondents to the customs broker).

Consequently, and in light of respondents' repeated violations of the Shipping Act and the ongoing nature of some of these allegations it is respectfully requested that the Commission consider the foregoing, reverse the ID, and grant complainants such other and further relief as may be just and proper under the circumstances.

WHEREFORE, for the reasons set forth above, Complainants request that the Commission reverse the challenged findings of the Initial Decision in this proceeding, and adopt Complainants' recommended findings and analysis as set forth herein and in Attachment "A".

Dated: March 13, 2017
Brooklyn, New York

Respectfully Submitted,

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Attorney for Complainants

ATTACHMENT A
COMPLAINANT'S EXCEPTIONS TO INITIAL DECISION

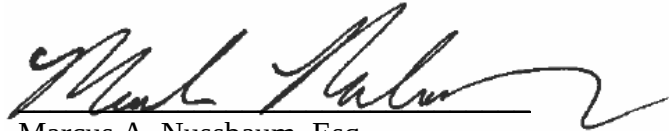
- I. The Initial Decision (“ID”) is in error because it gives the sense of advocacy on the part of the ALJ rather than impartial even-handed adjudication which is required by the Administrative Procedure Act; among its many shortcomings, the ID is arbitrary and capricious; it makes ultimate conclusions of fact which do not rationally flow from the Findings of Fact; it blatantly fails to consider at all evidence in the record on central issues; in some instances, the ID reaches conclusions of fact on key issues with no factual support whatsoever in the record. Furthermore, the ID blatantly and repeatedly ignores established Federal Maritime Commission regulations and law in its legal conclusions.
- II. The ID is in error because it completely ignores or gives little regard to the material evidence and arguments posited by Complainants as to the existence of a contract of carriage for the shipment of the Formula abroad.
- III. The ID is in error because it completely ignores or gives little regard to respondents’ own admission as to the existence of a contract of carriage for the shipment of the Formula abroad.
- IV. The ID erroneously ignored evidence of respondent Solovyev having acted in the capacity of unlicensed Ocean Freight Forwarder with respect to the subject cargo, and in doing so, breached his duties to complainants.
- V. The ID is in error in that it based its finding that the Commission did not have jurisdiction over the complaint, in part, on an alleged failure by complainants to pay for loading and shipping of the Formula to Dubai.
- VI. The ID is in error because it sets a precedent allowing an NVOCC or OFF to effectively “sit on their hands” and not perform their duties for an indefinite time period in that *after* the complainants decided that respondents were “crooks”, complainants decided to reroute their cargo to Florida. The ALJ used this decision by complainants to support a finding that no contract of carriage existed.
- VII. The ID is in error in that it ignored evidence that Solovyev Did Not Obtain Title to the Formula until Two (2) Years after He Allegedly Undertook Responsibility to Export the Boat to Dubai.
- VIII. The ID is in error in that it ignores evidence that respondents overcharged complainants various fees with respect to the Monterey and Chaparral in violation of the Shipping Act.

CERTIFICATE OF SERVICE

I hereby certify that I have this day served the **COMPLAINANT'S BRIEF IN SUPPORT OF ITS' EXCEPTIONS TO INITIAL DECISION and APPENDIX** upon Respondents' Counsel at the following address:

Montgomery, McCracken, Walker & Rhoads, LLP
437 Madison Ave., 29th Floor
New York, NY 10022
Attn: Stephen H. Vengrow, Esq.
Attn: Eric Chang, Esq.

by first class mail, postage prepaid, and by email (echang@mmwr.com and svengrow@mmwr.com).

A handwritten signature in black ink, appearing to read "Marcus A. Nussbaum", written over a horizontal line.

Marcus A. Nussbaum, Esq.
P.O. Box 245599
Brooklyn, NY 11224
Tel: 888-426-4370
Fax: 347-572-0439
Attorney for Complainants
marcus.nussbaum@gmail.com

Dated: March 13, 2017 in Brooklyn, New York.